

Please write clearly in block capitals.

Centre number Candidate number

Surname _____

Forename(s) _____

Candidate signature _____

A-level

ECONOMICS

Paper 2 National and international economy

Predicted Paper **Time allowed: 2 hours**

Materials

For this paper you must have:

- an AQA 12-page answer book
- a calculator.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Write the information required on the front of your answer book. The Paper Reference is 7136/2.
- In Section A, answer **EITHER** Context 1 **OR** Context 2.
- In Section B, answer **ONE** essay.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- There are 40 marks for Section A and 40 marks for Section B.
- You will be marked on your ability to:
 - use good English
 - organise information clearly
 - use specialist vocabulary where appropriate.

Advice

- You are advised to spend 1 hour on Section A and 1 hour on Section B.

Predicted Paper — For revision purposes only [Set C — Advanced]

Section A

Answer EITHER Context 1 OR Context 2.

EITHER

Context 1

Total for this context: 40 marks

Global supply chains and the rise of protectionism

Study **Extracts A, B and C** and then answer **all** parts of Context 1 which follow.

Extract A: Global trade and tariffs

Figure 1: Selected average applied tariff rates, all products (%)

Economy	2015	2019	2023	2024
United States	1.6	3.0	3.8	5.1
European Union	1.8	1.8	1.9	1.9
United Kingdom	—	—	2.6	2.6
China	3.5	7.6	7.4	7.4
India	6.4	6.3	18.1	17.2

Figure 2: World trade and FDI, annual growth (%)

Year	World goods trade volume growth	Cross-border FDI flows, growth	Global GDP growth
2000–2007 avg.	7.2	15.4	4.5
2010–2019 avg.	3.2	0.1	3.8
2023	0.8	-9.5	3.3
2024	2.4	2.1	3.2

Source: WTO / UNCTAD / IMF, 2024

Extract B: The retreat from hyper-globalisation

The volume of world trade rose more than three times as fast as world GDP during the 1990s and 2000s — a period often described as "hyper-globalisation". Since the 2008 financial crisis, world trade growth has slowed markedly, averaging less than half its pre-crisis rate. Multiple factors have contributed: the collapse of global capital flows, the 2018 US-China trade war, the Covid-19 pandemic's disruption to supply chains, Russia's invasion of Ukraine, and a wave of industrial policy interventions by major economies (including the US Inflation Reduction Act and the EU's Green Deal Industrial Plan).

US tariffs on Chinese imports rose sharply from 2018, with the Biden administration largely retaining the Trump-era measures and adding new tariffs on semiconductors, solar panels and electric vehicles. The 2024 US election campaigns saw further proposals for widespread tariffs, including a universal 10% tariff on imports and 60% tariffs on Chinese goods. The IMF has warned that a full trade-war scenario could reduce global output by up to 7% over the medium term. Nevertheless, many economists regard some degree of "friend-shoring" or "near-shoring" — the relocation of supply chains to politically aligned or geographically closer partners — as a rational response to geopolitical risks rather than straightforward protectionism.

Source: News reports, October 2024

Extract C: Welfare effects of protectionism

Standard international trade theory identifies multiple costs of tariffs: loss of consumer surplus exceeding the gain in producer surplus; deadweight loss triangles in both production and consumption; loss of gains from specialisation; and, in the long run, reduced dynamic efficiency as protected industries face less competition. Empirical studies of the 2018 US tariffs found that the incidence fell almost entirely on US consumers and businesses, rather than on Chinese exporters as the administration had predicted. Academic estimates put the welfare cost to US households at around \$800 per household per year by 2020.

Supporters of strategic protectionism argue that standard analysis neglects several factors. In industries with large positive externalities (such as semiconductor manufacturing or green technology), infant-industry protection may be justified. Concentration of critical supply chains in a single country creates national security risks that the market does not price. And the distributional consequences of free trade — with high-paid manufacturing jobs disappearing from industrialised economies — have contributed to political backlashes that themselves threaten the stability of the global trading system. Recent industrial policies (such as the \$280bn US CHIPS Act) attempt to combine tariffs, subsidies and regulation to reshape industry locations. Critics warn these risk significant government failure, with rent-seeking and waste offsetting any strategic gains.

Source: News reports, November 2024

0 1 Using the data in Extract A (Figure 1), calculate the percentage-point change in the US average applied tariff rate between 2015 and 2024. **[2 marks]**

0 2 Explain how the data in Extract A (Figure 2) suggest that the world economy has entered a period of slower globalisation since the 2008 financial crisis. **[4 marks]**

0 3 Extract C (lines 1–3) states that standard trade theory identifies 'loss of consumer surplus exceeding the gain in producer surplus; deadweight loss triangles in both production and consumption; loss of gains from specialisation'. **[9 marks]**

With the help of a supply-and-demand diagram, analyse how the imposition of a tariff on imported goods reduces overall economic welfare.

0 4 Extract C (lines 11–14) states that 'in industries with large positive externalities (such as semiconductor manufacturing or green technology), infant-industry protection may be justified.' **[25 marks]**

Use the extracts and your knowledge of economics to evaluate the view that protectionist policies can ever be justified on economic grounds in advanced economies such as the UK and the United States.

Do NOT answer Context 2 if you have answered Context 1.

OR

Context 2

Total for this context: 40 marks

Economic development and global inequality

Study **Extracts D, E and F** and then answer **all** parts of Context 2 which follow.

Extract D: Development indicators, selected countries

Figure 3: Selected development indicators, 2023

Country	GNI per capita (US\$, PPP)	HDI	% below \$2.15/day	Life expectancy (years)
Norway	78,200	0.961	0.0	83.2
United Kingdom	51,400	0.940	0.2	81.4
China	20,800	0.788	0.1	78.2
India	8,800	0.644	10.0	70.1
Bangladesh	6,500	0.670	13.5	73.6
Ethiopia	2,800	0.498	27.0	65.6
Niger	1,300	0.400	50.5	62.3

Figure 4: Average annual real GDP growth, selected regions (%)

Region	2000–2010	2010–2019	2020–2024
Advanced economies	1.9	2.1	1.8
Emerging & developing Asia	8.4	6.8	4.8
Sub-Saharan Africa	5.9	3.4	3.1
Latin America & Caribbean	3.4	1.8	1.7

Source: World Bank / UNDP / IMF, 2024

Extract E: Paths to development

Economic development involves improvements in living standards, health, education and opportunity — of which rising income is a necessary but not sufficient condition. Extreme poverty has fallen dramatically over the past forty years, led by rapid industrialisation and export-led growth in East Asia. China alone has lifted more than 800 million people out of extreme poverty since 1980. By contrast, progress in sub-Saharan Africa has been much slower, with the region accounting for a rising share of global poverty as population growth outpaces income gains.

Development economists debate the relative importance of different growth drivers. The Harrod-Domar model emphasises the role of saving and investment; the Solow model emphasises technological progress and human capital; the Lewis model emphasises the reallocation of labour from low-productivity traditional sectors to higher-productivity modern sectors. Empirical evidence suggests that successful developing economies have combined multiple elements: high saving and investment, strong export orientation, investment in education and infrastructure, and effective institutions. The role of natural resource endowments is ambiguous: some resource-rich economies have used commodity exports to fund industrial development, while others have suffered from the "resource curse" of weak governance, currency overvaluation and corruption.

Source: News reports, July 2024

Extract F: Barriers and policy responses

Low-income countries face multiple barriers to development: limited domestic savings, dependence on primary commodity exports with volatile prices, poor infrastructure, weak institutions, and vulnerability to external shocks including climate change. Climate change poses a particular challenge, threatening agricultural productivity in already-vulnerable regions. The 2022 floods in Pakistan displaced 33 million people and caused economic losses equivalent to 4% of GDP. Debt burdens have also risen sharply in developing economies since the pandemic, with 60% of low-income countries now assessed by the IMF as being in or at high risk of debt distress.

Policy responses have evolved over time. The "Washington Consensus" of the 1990s emphasised trade liberalisation, fiscal discipline and market-friendly reforms. Recent thinking places more weight on institutions, state capacity, and the "developmental state" model seen in East Asian economies. Debt relief initiatives — including the Highly Indebted Poor Countries (HIPC) initiative — have provided some relief for the poorest countries, but require coordinated action from creditors. Climate finance commitments from advanced economies — pledged at \$100bn per year at COP15 in 2009 — have been partially met but remain far below the estimated needs. A 2024 UNCTAD report argued that without a substantial increase in development finance, capital investment, and debt relief, the Sustainable Development Goals for 2030 will be missed by a wide margin.

Source: News reports, September 2024

0 5 Using the data in Extract D (Figure 3), calculate the ratio of the GNI per capita of the United Kingdom to that of Niger in 2023. Give your answer to one decimal place. **[2 marks]**

0 6 Explain how the data in Extract D (Figure 4) suggest that economic growth rates have diverged between emerging Asia and sub-Saharan Africa since 2000. **[4 marks]**

0 7 Extract E (lines 9–11) refers to the 'Lewis model [which] emphasises the reallocation of labour from low-productivity traditional sectors to higher-productivity modern sectors.' **[9 marks]**

With the help of a diagram, analyse how investment in education and physical capital in a developing economy can increase long-run output and real GDP per capita.

0 8 Extract F (lines 13–15) states that 'without a substantial increase in development finance, capital investment, and debt relief, the Sustainable Development Goals for 2030 will be missed by a wide margin.' **[25 marks]**

Use the extracts and your knowledge of economics to evaluate the most effective policies for accelerating economic development in low-income countries such as those in sub-Saharan Africa.

Section B

Answer ONE essay from this section.

Each essay carries 40 marks.

EITHER

Essay 1

Since 2022, both fiscal and monetary authorities in the UK and other advanced economies have faced difficult trade-offs. Tight monetary policy has been used to bring inflation down, while governments have sought to protect households from the cost-of-living shock through fiscal support. Some economists argue that the interaction of fiscal and monetary policy — or its absence — has amplified economic instability during this period.

- 0 9** Explain, with the aid of an AD/AS diagram, how a combination of expansionary fiscal policy and contractionary monetary policy can affect the price level and real GDP in an economy. **[15 marks]**
- 1 0** Evaluate the view that the coordination of fiscal and monetary policy is essential for maintaining macroeconomic stability in the UK. **[25 marks]**

OR

Essay 2

Almost every country in the world has now committed to achieving net-zero greenhouse gas emissions by 2050 or shortly thereafter. Meeting this target will require substantial investment and structural economic change. Some economists argue that climate policy poses a fundamental threat to short-term growth; others argue that the transition to a green economy offers the greatest opportunity for productivity gains since the industrial revolution.

- 1 1** Explain, with the aid of diagrams, how climate change represents both a market failure and a threat to long-run economic growth. **[15 marks]**
- 1 2** Evaluate the view that policies to reduce greenhouse gas emissions will inevitably reduce the UK's rate of economic growth in the short run. **[25 marks]**

OR

Essay 3

Global income inequality — the gap between rich and poor countries — has narrowed substantially since the late 1990s, largely due to the rapid growth of China and India. However, within-country inequality has risen in many advanced economies, and poverty reduction has stagnated in sub-Saharan Africa. Debate continues about the best policies to promote sustainable and equitable development.

- 1 3** Explain the main economic indicators used to measure the level of economic development in a country. **[15 marks]**
- 1 4** Evaluate the view that international trade is the most powerful force for reducing poverty in developing economies. **[25 marks]**

END OF QUESTIONS